

Mukesh Kumar and 3 Others v. State of U.P. and 4 Others

Allahabad High Court · Division Bench · 4 January 2017 · 2017 SCC OnLine All 6 · Writ-C No. 61372 of 2016 · **Writ petition disposed of on a consent arrangement; recovery to proceed first against the company's assets, and against directors only after and subject to the outcome of pending writs; the vires challenge to Clause 4.3(f)(v) kept open**

HEADNOTE

Recovery of a company's electricity dues from its directors under Clause 4.3(f)(v) of the U.P. Electricity Supply Code, 2005 is to be attempted only after exhausting recovery against the company's assets, and any such step against directors abides the outcome of pending writ petitions in which the enforceability of the notices and the vires of Clause 4.3(f)(v) are under challenge. On the parties' agreed arrangement, the Court directed the Corporation first to take all steps to recover from the company (M/s Kumar Casting Pvt. Ltd.), and only if the dues remain unrecovered even after sale of the company's assets to proceed against the directors, after and subject to the disposal of Writ-C Nos. 39095 of 2015 and 8370 of 2016; the petitioners' contentions, including the challenge to Clause 4.3(f)(v) and the definition of 'consumer' in Section 2(15) of the Electricity Act, 2003, were kept open.

HOLDING-UNITS

HOLDING-UNIT · UP-2005::4.3(f)

Director liability sequenced after recovery from company assets; vires challenge left open

QUESTION

Can the licensee recover a company's dues from its directors under Clause 4.3(f)(v) while the enforceability and vires of that clause are sub judice?

HOLDING

On the agreed arrangement, recovery is to proceed first against the company's assets; only if the dues remain unrecovered even after their sale may the Corporation proceed against the directors, and that step abides the outcome of the pending writ petitions (Writ-C Nos. 39095 of 2015 and 8370 of 2016). The petitioners' contentions, including the challenge to the vires of Clause 4.3(f)(v) and the s.2(15) definition of 'consumer', were expressly kept open; the Court did not decide them. ¶ 3-4

LIMITING FACTS

Recovery notice against directors of M/s Kumar Casting Pvt. Ltd. under Clause 4.3(f)(v); similar challenges pending in Writ-C Nos. 39095 of 2015 and 8370 of 2016; directors consented to recovery from the company's assets first.

PRINCIPLE TAGS

director-liability-for-company-dues-subordinate-to-company-assets

Recovery from directors under Clause 4.3(f)(v) is sequenced after recovery against the company's assets and, pending challenge, abides the outcome of the lead writ petitions.

¶ 3-4

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — THE VIRES OF CLAUSE 4.3(F)(V) AND WHETHER DIRECTORS FALL WITHIN 'CONSUMER' (S.2(15), ELECTRICITY ACT 2003)

Expressly kept open, to abide Writ-C Nos. 39095 of 2015 and 8370 of 2016. ¶ 3-4